

University of Northern British Columbia
ECON 204 – Contemporary Economic Issues

Midterm Exam

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Student Name: _____

Student ID: _____

Instructions:

This exam contains 50 multiple choice questions and you have 70 minutes to complete.

Choose the ONE best answer (A–E).

Fill in the bubble completely using dark pencil.

No communication devices permitted.

Fill in ONE bubble per question.

1–17	18–34	35–50
1 (A) (B) (C) (D) (E)	18 (A) (B) (C) (D) (E)	35 (A) (B) (C) (D) (E)
2 (A) (B) (C) (D) (E)	19 (A) (B) (C) (D) (E)	36 (A) (B) (C) (D) (E)
3 (A) (B) (C) (D) (E)	20 (A) (B) (C) (D) (E)	37 (A) (B) (C) (D) (E)
4 (A) (B) (C) (D) (E)	21 (A) (B) (C) (D) (E)	38 (A) (B) (C) (D) (E)
5 (A) (B) (C) (D) (E)	22 (A) (B) (C) (D) (E)	39 (A) (B) (C) (D) (E)
6 (A) (B) (C) (D) (E)	23 (A) (B) (C) (D) (E)	40 (A) (B) (C) (D) (E)
7 (A) (B) (C) (D) (E)	24 (A) (B) (C) (D) (E)	41 (A) (B) (C) (D) (E)
8 (A) (B) (C) (D) (E)	25 (A) (B) (C) (D) (E)	42 (A) (B) (C) (D) (E)
9 (A) (B) (C) (D) (E)	26 (A) (B) (C) (D) (E)	43 (A) (B) (C) (D) (E)
10 (A) (B) (C) (D) (E)	27 (A) (B) (C) (D) (E)	44 (A) (B) (C) (D) (E)
11 (A) (B) (C) (D) (E)	28 (A) (B) (C) (D) (E)	45 (A) (B) (C) (D) (E)
12 (A) (B) (C) (D) (E)	29 (A) (B) (C) (D) (E)	46 (A) (B) (C) (D) (E)
13 (A) (B) (C) (D) (E)	30 (A) (B) (C) (D) (E)	47 (A) (B) (C) (D) (E)
14 (A) (B) (C) (D) (E)	31 (A) (B) (C) (D) (E)	48 (A) (B) (C) (D) (E)
15 (A) (B) (C) (D) (E)	32 (A) (B) (C) (D) (E)	49 (A) (B) (C) (D) (E)
16 (A) (B) (C) (D) (E)	33 (A) (B) (C) (D) (E)	50 (A) (B) (C) (D) (E)
17 (A) (B) (C) (D) (E)	34 (A) (B) (C) (D) (E)	

1. Inflation is best defined as:
 - A. A one-time rise in the price of gasoline
 - B. A sustained increase in the general price level over time
 - C. A fall in the unemployment rate
 - D. A decline in real GDP
 - E. A temporary increase in the price of a single good
2. A one-time price increase is not inflation unless:
 - A. It occurs during a recession
 - B. It is caused by fiscal policy
 - C. It leads to continuing price increases across many sectors
 - D. It raises wages immediately
 - E. It lowers the exchange rate
3. Changes in the cost of living are most commonly measured using the:
 - A. GDP deflator
 - B. Producer Price Index
 - C. Consumer Price Index
 - D. Unemployment rate
 - E. Exchange rate index
4. The CPI tracks the cost of purchasing:
 - A. All goods produced domestically
 - B. A fixed basket of goods and services
 - C. Only food and energy
 - D. Only housing services
 - E. Only imported goods
5. The inflation rate measures the:
 - A. Level of CPI times 100
 - B. Percentage change in CPI over time
 - C. Change in wages
 - D. Difference between nominal and real GDP
 - E. Change in unemployment

6. If CPI rises from 158 to 163, inflation is approximately:
 - A. 2.5%
 - B. 3.0%
 - C. 3.16%
 - D. 5.0%
 - E. 6.0%

7. Substitution bias occurs because:
 - A. Consumers buy more expensive goods
 - B. Consumers substitute cheaper goods but CPI basket is fixed
 - C. CPI excludes food
 - D. CPI includes luxury goods only
 - E. CPI adjusts perfectly for quality

8. Quality improvements can cause CPI to:
 - A. Understate inflation only
 - B. Overstate true cost of living in some cases
 - C. Equal zero in recessions
 - D. Match GDP deflator exactly
 - E. Become independent of behavior

9. Demand-pull inflation occurs when:
 - A. Production costs rise
 - B. Aggregate demand grows faster than capacity
 - C. Exchange rate appreciates
 - D. Expectations fall
 - E. Economy is far below capacity

10. Cost-push inflation is associated with:
 - A. Lower prices and higher output
 - B. Higher prices and higher output
 - C. Higher prices and slower growth
 - D. Lower prices and slower growth
 - E. No change

11. A wage–price spiral occurs because:
- A. Workers demand lower wages
 - B. Firms cut prices
 - C. Workers demand higher wages and firms raise prices
 - D. Productivity rises automatically
 - E. Policy becomes irrelevant
12. In AD–AS, demand-pull inflation begins when:
- A. SRAS shifts right
 - B. AD shifts right
 - C. LRAS shifts left
 - D. AD shifts left
 - E. SRAS shifts left
13. Unexpected inflation tends to:
- A. Benefit lenders
 - B. Benefit borrowers
 - C. Benefit both
 - D. Harm both
 - E. Have no effects
14. If nominal rate is 6% and expected inflation is 2.5%, real rate $\approx$
- A. 8.5%
 - B. 6.0%
 - C. 3.5%
 - D. 2.5%
 - E. 0.4%
15. Canada’s inflation target is:
- A. 0%
 - B. 2% with 1–3% range
 - C. 3%
 - D. 5%
 - E. No target

16. When the population is divided into five equal groups according to income, these groups are called:
- A. Deciles
 - B. Percentiles
 - C. Quintiles
 - D. Quartiles
 - E. Clusters
17. Real per capita GDP is best interpreted as:
- A. Total government spending per person
 - B. Average income per person adjusted for inflation
 - C. Nominal income per worker
 - D. Total exports divided by population
 - E. Median household income
18. If real per capita GDP rises over time, this implies:
- A. Every citizen becomes richer
 - B. Inflation is zero
 - C. Average standard of living rises
 - D. Inequality disappears
 - E. Taxes decline
19. The share of total income received by the richest quintile in Canada in 2018 was closest to:
- A. 10%
 - B. 23%
 - C. 30%
 - D. 41%
 - E. 60%
20. A histogram of income distribution typically shows:
- A. Perfect equality
 - B. A symmetric distribution
 - C. A right-skewed distribution
 - D. No variation in income
 - E. Equal frequency across groups

21. The median income represents the income:
- A. earned by the richest household
 - B. earned by the poorest household
 - C. at which half the population earns more and half earns less
 - D. equal to average income
 - E. earned by the top 10%
22. If the income of only the richest individuals increases, what happens?
- A. Median rises but average stays the same
 - B. Both median and average fall
 - C. Average rises but median may remain unchanged
 - D. Inequality disappears
 - E. Poverty line rises automatically
23. The Lorenz curve is used to illustrate:
- A. Inflation trends
 - B. Economic growth cycles
 - C. Income inequality
 - D. Interest rate movements
 - E. Government spending
24. The farther the Lorenz curve is from the equality line, the:
- A. lower the inflation rate
 - B. more equal income distribution
 - C. higher the unemployment rate
 - D. more unequal the income distribution
 - E. higher economic growth
25. The Gini coefficient equals 0 when:
- A. income is perfectly unequal
 - B. inflation is zero
 - C. income is perfectly equal
 - D. GDP is zero
 - E. poverty is eliminated

26. Canada's Gini coefficient is lower than the United States, meaning:
- A. Canada has more poverty
 - B. Canada has less income inequality
 - C. Canada has higher inflation
 - D. Canada has lower GDP
 - E. Canada has higher taxes
27. The Market Basket Measure (MBM) defines poverty based on:
- A. half of median income
 - B. cost of basic goods and services
 - C. unemployment rate
 - D. average rent only
 - E. GDP growth
28. The Low Income Measure (LIM) defines poverty as income below:
- A. average income
 - B. 75% of median income
 - C. half of median income
 - D. minimum wage level
 - E. poverty line of the US
29. Which group had the highest poverty rate under the MBM in 2018?
- A. Seniors
 - B. Children
 - C. Persons in economic families
 - D. Persons not in economic families
 - E. Full-time workers
30. Poverty and inequality are related but not identical because:
- A. poverty always implies equality
 - B. inequality always implies poverty
 - C. everyone can be poor with no inequality
 - D. poverty only exists in rich countries
 - E. inequality eliminates poverty

31. Housing affordability refers to:
- A. The price level of housing
 - B. The ability to obtain adequate housing without excessive financial strain
 - C. The number of houses built each year
 - D. Government housing subsidies
 - E. The cost of construction materials
32. Housing affordability is best described as a relationship between:
- A. Interest rates and inflation
 - B. Prices and construction costs
 - C. Income, wealth, and credit access
 - D. Land supply and zoning laws
 - E. Population and employment
33. The price-to-income (PTI) ratio measures:
- A. Monthly rent relative to income
 - B. House price divided by annual household income
 - C. Mortgage rates relative to wages
 - D. Construction cost per household
 - E. Taxes as a share of housing cost
34. If the median home price is \$900,000 and income is \$110,000, the PTI ratio is closest to:
- A. 3.2
 - B. 4.5
 - C. 6.0
 - D. 8.2
 - E. 10.5
35. A shelter-cost-to-income ratio above about 30–40% suggests:
- A. Perfect affordability
 - B. A housing-cost burden
 - C. Inflation is high
 - D. Interest rates are low
 - E. Construction costs are falling

36. Housing is unusual economically because it is both:
- A. Public and private
 - B. Durable and perishable
 - C. A consumption good and an investment asset
 - D. Regulated and unregulated
 - E. Local and international
37. When households expect house prices to rise, demand for ownership housing tends to:
- A. Fall
 - B. Remain unchanged
 - C. Increase
 - D. Become illegal
 - E. Shift entirely to rentals
38. The user cost of housing falls when:
- A. Interest rates rise
 - B. Expected house price appreciation increases
 - C. Taxes increase
 - D. Maintenance costs increase
 - E. Mortgage terms shorten
39. Rapid population growth affects affordability primarily by:
- A. Reducing housing demand
 - B. Increasing housing demand
 - C. Lowering construction costs
 - D. Eliminating zoning restrictions
 - E. Increasing interest rates
40. Lower interest rates increase housing demand because they:
- A. Reduce property taxes
 - B. Increase borrowing capacity
 - C. Reduce wages
 - D. Increase rent controls
 - E. Decrease population growth

41. Housing supply in many Canadian cities is considered inelastic because:
- A. Housing is free
 - B. Construction takes years and faces regulatory constraints
 - C. Demand never changes
 - D. Interest rates are fixed
 - E. Land is unlimited
42. Zoning rules that limit density tend to:
- A. Increase housing supply rapidly
 - B. Lower housing prices immediately
 - C. Constrain housing supply and raise prices
 - D. Elicit inflation targeting
 - E. Reduce population growth
43. Vancouver's housing affordability challenges are strongly linked to:
- A. Excess farmland
 - B. Highly elastic supply
 - C. Geographic constraints and limited developable land
 - D. Low population growth
 - E. Declining incomes
44. Mortgage renewal risk is important in Canada because:
- A. Mortgages last only one year
 - B. Most mortgages reset at prevailing rates after a few years
 - C. Interest rates never change
 - D. Mortgages are government grants
 - E. House prices determine interest rates
45. An international housing affordability crisis refers to:
- A. A housing shortage in one country
 - B. Falling housing prices worldwide
 - C. Widespread affordability deterioration across many advanced economies
 - D. Elimination of homeownership
 - E. Universal rent controls

46. The Lorenz curve plots:
- A. Income against inflation
 - B. Cumulative income share against cumulative population share
 - C. GDP against unemployment
 - D. Taxes against transfers
 - E. Wealth against age
47. If the Lorenz curve lies closer to the 45-degree line, this indicates:
- A. Greater inequality
 - B. Lower GDP
 - C. More equal income distribution
 - D. Higher inflation
 - E. Higher poverty line
48. The Gini coefficient is calculated as:
- A. Area under the Lorenz curve divided by total income
 - B. Area between the Lorenz curve and equality line divided by total area under equality line
 - C. Median income divided by mean income
 - D. Top income share divided by bottom share
 - E. Poverty rate multiplied by inflation
49. If the Gini coefficient rises from 0.30 to 0.40, this implies:
- A. Income inequality has increased
 - B. Income inequality has decreased
 - C. Poverty is eliminated
 - D. GDP has fallen
 - E. Inflation has increased
50. If the top 10% income share increases while total income remains constant, this most likely means:
- A. The Lorenz curve shifts closer to equality
 - B. The Gini coefficient falls
 - C. Income inequality decreases
 - D. Income inequality increases
 - E. Median income rises automatically